

THE FUTURE IS TAKING SHAPE

From IT and global capability centres to semiconductors, quantum computing, space, drones and advanced healthcare, Andhra Pradesh is building an ecosystem designed around the technologies of tomorrow.

There was a time when Andhra Pradesh's technology narrative was defined by what it lacked. The bifurcation of the state in 2014 left it without Hyderabad, one of India's most established technology hubs. A decade later, Andhra Pradesh is pursuing a different ambition: not the recreation of a single technology city, but the development of interconnected technology ecosystems.

Across Visakhapatnam, Amaravati, Kurnool, Tirupati and emerging industrial corridors, the state is building capabilities in IT and global capability centres (GCCs), semiconductors and electronics, quantum computing, drones, life sciences and space. The common thread is infrastructure: specialised locations, shared facilities, policy support and talent pipelines intended to attract investment in sectors where competition is increasingly global.

FROM IT SERVICES TO GLOBAL CAPABILITY CENTRES

Visakhapatnam sits at the centre of Andhra Pradesh's IT strategy. Under the state's IT & GCC Policy 4.0, Madhurawada, Rushikonda and Kapuluppada are being developed as key technology districts.

The proposition extends beyond office space. The policy combines digital infrastructure, talent availability, quality-of-life initiatives and incentives aimed at attracting both companies and skilled professionals.

Growth, while from a relatively small base, has been rapid. STPI-registered IT exports increased from ₹1,089 crore in 2022-23 to ₹2,850 crore in 2023-24. The state has set a target of creating 500,000 jobs through IT and GCC investments.

Several large technology firms have announced expansions. TCS has been allotted 21.6 acres in Visakhapatnam for a campus with capacity for 10,000-12,000 employees. Cognizant has received 21.31 acres for a proposed campus expected to generate around 8,000 jobs. Infosys has secured 20 acres for a larger facility, while HCLTech is expanding beyond its existing R&D presence at Gannavaram through plans in Amaravati and Visakhapatnam.

The strategy extends beyond Vizag through the LIFT Policy 4.0, which aims to spread technology investment across Tier-2 and Tier-3 locations. The broader objective is to create a distributed technology economy rather than replicate a single metropolitan model.



THE CHIP CHALLENGE

If IT represents the evolution of Andhra Pradesh's services economy, semiconductors represent an attempt to enter the global hardware supply chain.

The state has identified ESDM clusters in Visakhapatnam, Tirupati, Nellore, Sri City, Kadapa and Anantapur. Within this network, Orvakal in Kurnool and Tarluvada in Visakhapatnam are emerging as semiconductor nodes.

The opportunity coincides with India's expanding electronics sector, which has risen from the country's ninth-largest export sector in FY2018 to fourth place in FY2024, with electronics exports reaching $29.11 billion.

Andhra Pradesh's Electronics Manufacturing Policy 4.0 targets $50 billion in electronics production, $10 billion in fresh investments and five lakh jobs over five years.

Among the key projects is the proposed Indichip-Yitoa Silicon Carbide facility at Orvakal, involving an investment of about ₹14,000 crore. At Tarluvada, ASIP Technologies' semiconductor packaging and testing project has received approval under the India Semiconductor Mission.

Sri City is also emerging as an electronics

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